

## **Revisions of the World Bank Procurement Regulations for IPF Borrowers**

**Sixth Edition, February 2025**

The revision reflects the Bank's increased oversight of the Project Procurement Strategy for Development (PPSD), new requirements for Early Market Engagement (international competitive procurement over 10 million USD), mandatory use of weightings for Rated Criteria, and removal of reference to publication in United Nations Development Business (UNDB). The revision relating to these include:

- Para 3.24 added that mis-procurement may include misapplication of Rated Criteria and minimum weightings;
- Para 4.2 added requiring the PSD to outline the procurement objectives, proposed procurement approach, market engagement plan, evaluation methodology, specific Rated Criteria and their proposed prioritization and weightings;
- Para 4.3 added requiring preparation of the PSD during project preparation for the Bank's review and approval as part of loan negotiations, regular updates of the PSD at least on an annual basis, the updates to also reflect any findings from Early Market Engagement and the updates to be submitted to the Bank for review and approval;
- Para 4.4 added requiring all projects with international competitive procurement contracts estimated to cost more than 10 million USD to undertake Early Market Engagement for each such contract. The plan and approach to Early Market Engagement to be detailed in the PSD;
- Para 5.32 added offering to the Borrower the option to make direct payments to a supplier, contractor, or consultant (in line with the Bank's disbursement framework) on Borrower's request for all contracts estimated to cost more than 10 million USD, awarded under international competitive procurement/Direct Selection;
- Para 5.50 which now includes that for any international competitive procurement where SPDs are required to be used (excluding pharmaceuticals/ vaccines/ commodities), Rated Criteria shall apply. As well as that, the Borrower shall specify the weightings for Rated Criteria (e.g., non-price, qualitative, technical matters) in the Request for Bids/Request for Proposals document. The weightings for Rated Criteria are determined based on the procurement risk and cost as follows:
  - a. High/Substantial Procurement Risk and High Value between 50% to 80%
  - b. High/Substantial Procurement Risk and Low Value between 60% to 100%
  - c. Moderate/Low Procurement Risk and High Value between 10% to 40%
  - d. Moderate/Low Procurement Risk and Low Value between 20% to 30%
- Para 5.50 also includes a note that: Contracts estimated to cost at or above 10 million USD are deemed high value for purposes of the above weightings. See Annex X for more information.

- Para 5.69 and 5.70 clarified how to determine the Most Advantageous Bid when Rated Criteria are used, and when they are not used, for Goods, Works, and Non-consulting Services;
- Para 5.74 (b) specifies the additional information that should be included in the Notice of Award where the successful bid was assessed on the basis of Rated Criteria;
- Para 5.95 removes reference to UNDB and clarifies the new publishing arrangements.
- Para 6.37 added that the weightings given to the Rated Criteria should be in accordance with the requirements of Paragraph 5.50 and Annex X.
- Annex II - Procurement Oversight
  - para 6.1(c) added that any addenda that include the Evaluation Criteria, Rated Criteria, weightings, and any minimum quality thresholds etc., shall be subject to Bank's prior review.
  - para 7.1 (a) and (b) documents to be retained for contracts subject to prior review, added PPSD (including details of any Early Market Engagements undertaken) and for any international competitive procurement using SPDs, the retention of the determination and application of Rated Criteria and weightings;
  - Annex II, para 8.1(a) and (b) documents to be retained for contracts subject to post review, added the PPSD (including details of any Early Market Engagements undertaken), and retention with the Bids/Proposals evaluation report for any international competitive procurement using SPDs, the determination and application of Rated Criteria and weightings;
- Annex V - Project Procurement Strategy for Development (PPSD):
  - Para 2.1 updated to specify why a PPSD is required, what it must include and when it should be prepared;
  - Para 2.2 updated to require a minimum annual update of the PPSD and updates to reflect findings from Early Market Engagement, the updates to be reviewed and approved by the Bank;
  - Para. 2.3 (g) added requirement for the PPSD to include the proposed evaluation approach including the applicable Rated Criteria and their proposed prioritization and weightings;
  - Para 3.5 updated to emphasize the importance of market engagement, analysis, and research in the PPSD and the impact of a sub-optimal procurement approach;
  - Para 3.7 updated to reference the Early Market Engagement approach specified in paragraphs 3.8 -3.13;
  - Para 3.8 -3.13 added the Early Market Engagement approach for all projects with international competitive procurement contracts estimated to cost more than 10 million USD including the target and objectives of the Early Market Engagement, forms of Early Market Engagement that may be used, the need for openness and transparency, the documentation that must be retained relating to it and the use of independent probity advisors to mitigate against any perceived integrity/conflict of interest risk;
  - Para 3.14(d) added reference to Evaluation Criteria and their weightings;
- Annex VII- Sustainable Procurement
  - Para 2.2 (c) added reference to use Rated Criteria (and weightings) to

specifically support environmental, social, economic and climate considerations;

- Annex X – Evaluation Criteria
  - Para 2.2(d) added requirement for changes to Evaluation Criteria to be approved by the Bank;
  - Para 3.3 added:
    - requirement to determine the Rated Criteria weightings for each contract based on its placement within the matrix in Figure 1 for all international competitive procurement where SPDs are required to be used; and
    - Figure 1 Matrix of Rated Criteria Weightings by risk and cost;
  - Para 3.4 added requirement that the Bank will review and approve the Rated Criteria weightings for each contract subject to prior review. For contracts subject to post review, the Bank will review the Borrower's compliance with the Rated Criteria matrix. Added that misapplication of the weightings in the matrix (figure 1) may lead to mis-procurement;
  - Para 3.7 added that the Most Advantageous Bid/Proposal must be specified in the Request for Bids/Request for Proposals document in accordance with Paragraph 5.50 and Annex X.

Other revisions include:

- Para 3.2 updated to underline that the Borrower's role includes planning, analyzing, and engaging with the market;
- Para 5.39 updated to clarify the date and time for the Bid/Proposal opening;
- Para 5.70 updated to include examples of when Rated Criteria may not be used;
- Section VI- Approved Selection Methods for Goods, Works, and Non-consulting Services: Table 1 note on mandatory use of Rated Criteria updated to also reference the minimum weightings.
- Para 6.4 updated to reflect that in RFP when assessing the degree to which the Proposals meet or exceed requirements, the evaluation is conducted using Rated Criteria weightings with an evaluation methodology.
- Para 6.14 updated to clarify that open international competitive procurement, is the preferred approach for contracts of both high and substantial risk;
- Annex I, para 2.3 (f) and 3.3 (c) updated to refer to Rated Criteria and weightings;
- Annex II, para 3.1 clarifies that if the Bank determines that the procurement arrangements are more challenging to implement than an activity/contract below the applicable mandatory thresholds shall be subject to prior review;
- Updating of the Annexes where relevant including to reflect changes in the main body of the Procurement Regulations; and a few other editorial/non-substantive revisions.